

Global Banks

China investment regulations triggering WM revenue uncertainty for HSBC / STAN as well as UBS / BAER

Recent news from China on its enforcement of market discipline on investments has raised questions around the risks of capital control, and has led to the share price decline of some players, including HSBC (c3% since Tuesday last week) and StanChart (c6%). Our focus is on two parts: 1) China's crackdown on illegal cross-border securities activities (previously discussed [here](#), [here](#)) where **we estimate revenue at risk of c2% & EPS at risk of 4%/5% for HSBC/StanChart from Mainland China Visitors (MCVs) in relation to wealth and deposit income from new and existing MCV clients. We assume at this point that the new enforcement proposal will apply to front book flows, and not the back book.** Our on-the-ground checks show that MCVs can continue to open bank accounts and investment accounts if they are physically present in HK SAR, but the approval process now takes longer than before, which adds friction to the account-opening process and could hamper growth. 2) **China's new regulation on Outbound Direct Investment (ODI)** which primarily targets enterprises' outbound direct investment, but also explicitly brings individual residents into the ODI framework. **We see greater uncertainty for individuals within the ODI framework**, with detailed measures to be formulated over time, **which drives a potentially wider scope of impact including HNW/UHNW with UK Asian players and potentially UBS and BAER exposed** with Asia WM accounting for c.60% of net new flows in 2025 for UBS and no disclosure around how much of the flows in HK/Singapore are China onshore related. The shares of UBS (+2%) and BAER (+3%) have held up better than the UK Asian banks and European bank index over the last week. **We maintain a positive view on HK structural growth in capital markets and WM** with deeper penetration likely through official channels (e.g. Connect programmes), and while **LT stock valuations are attractive** (HSBC 9.2x, STAN 8.1x, UBS 10.7x and BEAR 10.4x PE 28E, with our preference for Asia WM exposure through UBS and STAN), **the current regulatory uncertainty means implied CoE could stay elevated until we have clarity and interpretation from the banks themselves or regulators, particularly on the ODI framework.**

- **In recent weeks, China has coordinated policy actions through two areas:** 1) China Securities and Regulatory Commission (CSRC) on investment accounts, from which the HKMA issued a circular on May 22nd on investment account requirements (including attestations and closure of dormant accounts); 2) State Council's ODI regulation, effective July 1st, which primarily targets enterprises' ODI, but also explicitly brings individual residents into the ODI framework where we see greater uncertainty on interpretation, with detailed measures to be formulated over time.

HKMA circular on investment accounts

- **Understanding attestation services:** This refers to HK banks allowing selected Mainland residents to open HK bank accounts via the Mainland subsidiaries/affiliates of the respective HK banks. For example, HSBC and STAN offer attestation services to their Mainland entity clients with AUM

Global Banks

Kian Abouhossein ^{AC}

(44-20) 7134-4575
kian.abouhossein@jpmorgan.com
J.P. Morgan Securities plc

Sheel Shah, CFA

(44-20) 7134-8455
sheel.shah@jpmorgan.com
J.P. Morgan Securities plc

Amit Ranjan

(44-20) 7134-4576
amit.x.ranjan@jpmorgan.com
J.P. Morgan Securities plc

Venkat Madasu

(44-20) 3493-9041
venkat.madasu@jpmorgan.com
J.P. Morgan Securities plc

Katherine Lei

(852) 2800-8552
katherine.lei@jpmorgan.com
J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

Lincoln Yu

(852) 2800 8523
lincoln.yu@jpmorgan.com
J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

Specialist Sales contact details:

Gigi Sparling - Specialist Sales - European Financials

(44-20) 7134-0355
ghislaine.sparling@jpmorgan.com

above a certain threshold. Please note that in our understanding, attestation service is only available for opening a bank account, but NOT for investment accounts, even prior to the regulatory tightening in May ([link](#)) and June (Table 1).

- **Our on-the-ground findings: *First, our team members physically visited two HK banks' Shanghai branches.*** One bank continues to offer attestation services for opening bank accounts for clients with AUM>Rmb500k. The other bank recently suspended attestation services for bank accounts. None of these banks offer attestation for investment accounts. ***Second, in Hong Kong SAR we inquired with three HK banks about Mainland client visitors (MCV) opening bank accounts and investment accounts.*** The feedback is that MCVs can still open bank accounts and investment accounts if they visit HK SAR physically, but the approval process will be longer, and the account opening cannot be completed in one day. Also, for opening an investment account, MCVs have to sign the Investor Declaration Form to certify that the money used for investment is from overseas income sources, which is inline with our earlier understanding ([link](#)). While our findings are anecdotal only, this offers some insight into the actual practices by various HK banks.

China's Outbound Direct Investment regulation

- **China's new regulations on ODI:** China's State Council introduced a new regulation (Doc 837) on outbound direct investments on Jun 1st ([link](#)). The regulation primarily targets enterprises' outbound direct investment, but explicitly brings individual residents into the ODI framework for the first time. Note that Clause 33 in Doc 837 states that *specific measures for the administration of outbound investment by individuals who are residents of Mainland China, etc. shall be formulated by the respective authorities in charge of investment and commerce*. Please refer to Table 1 for details of the Regulation.
- **Regulatory uncertainty until specific measures on outbound investment by Mainland China residents are released:** We expect respective government agencies to release the management measures in coming weeks or months. This may involve the Ministry of Commerce, National Development and Reform Commission or National Financial Regulatory Administration, in our view. As we understand it, prior to Doc 837, the guardrail on Mainland residents' outbound investment was on cross-border fund flows as specified by Article 16 of the Individual Foreign Exchange Administration Measures ([link](#)) and Doc 37 ([link](#)) by SAFE. So the implementation details, which have yet to be released, are an important part of the regulatory regime on this issue, and thus we believe this could have a meaningful impact on HK banks' wealth and PB business with potential impact on UBS and BAER as well but this is less clear to us at this point.

Outlining exposure to the Mainland China-HK channel

- **Quantifying the potential impact for HSBC/StanChart:** Table 2 shows that HK wealth business contributes c8%/7% of group revenue for HSBC and STAN, including both wealth fee income and net interest income related to wealth deposits. Note that HSBC commented that c20% of growth in invested assets from 2023 to 2025 in HK was driven by new clients, of which ~70% from non-residents (although a large amount is indicated to already be held offshore); and STAN indicated that ~1/3 of net new money (NNM) is from Global Chinese, and within that, c10% from cross border flows. With reference to these comments, we assume that c25% of HK wealth income is generated by MCVs (both existing and new clients), ***bringing MCV contribution to group revenue to 1.9% for HSBC and 1.6% for STAN in 2025.*** Please see Table 2 for details. Thus, we see related earnings at risk in a tail event of 4% for HSBC and 5% for STAN. In addition, Table 3 shows that from 2023 to 1Q26, HK approved 242k visas via various talent and investment programs, which would also be one of the drivers for NNM.

- **For Swiss players**, which are mainly geared to UHNW and HNW individuals in the APAC region, the potential impact from the new ODI rule is unclear to us at this point as it is not clear whether it is impacting only Corporates or if there is any impact at all on HNW/UHNW clients. UBS and BAER do not disclose their exposure to China or China onshore flows in their Wealth Management business, which makes it difficult to assess the impact. Looking broadly at APAC, UBS generated almost 50% (\$19bn) of its Q1 net new assets from APAC, with the region accounting for 18% (\$781bn) of Group WM Invested Assets as of Mar-26. For BAER, Asia accounted for 27% (c.\$175bn) of Group AuM at YE25, but BAER does not break out Net New Money by region. Our view is this rule will not be backward looking and so the focus is on flows rather than stock. We also see the Swiss players well diversified in the APAC region beyond China, with for example, UBS medium-term priorities including growth in Southeast Asia, Taiwan, Japan, Australia, and for BAER, India (onshore and global NRI) is a focus market. We note that Asia was the highest pre-tax margin WM region for UBS in 2025 and we assume it would be a similar picture for BAER, which does not breakdown P&L by region.

Table 1: Key points from the Regulations on Outbound Investments issued in June 2026

Articles	Theme	Core Point
1–5	Purpose & Scope	Outbound investment includes acquiring ownership/control/management rights in foreign enterprises or assets via capital, equity, financing, or guarantees — directly or indirectly. Investors include enterprises, other organizations, and resident individuals.
6–9	Support Services	Optimize the overseas service system pools resources across foreign affairs, legal, tax, finance, trade, logistics, customs, immigration. Banks provide financing; policy insurers offer overseas investment insurance. Professional firms (consulting, accounting, credit-rating, arbitration, IP) and industry associations expand overseas service networks.
10–12	Management System	Authorities should define encouraged / restricted / prohibited investment categories, adjust per country investment climate and risk. Investors must complete approval/filing, information reporting, and cross-border fund registration, submit truthful materials, and accept inspection.
13–15	Controls & Review	No export/use of state-banned goods, technology, services, or data; no unlicensed transfer of restricted items — including via dispatched personnel, cross-border guidance, or training. Conduct national security review of investments affecting national security
16–18	Investor Obligations	Foreign enterprises must build compliance, internal-control, production safety, and emergency systems, and commit personnel/funds/equipment to protect staff and assets. Prohibited investment behaviors include defaming competitors' reputation, stealing trade secrets, dumping without cause, bribery/fraud. Authorities issue early warnings and country security alerts.
19–21	Protection	Consular protection for Chinese citizens/staff abroad — especially in war, armed conflict, riot, natural disaster, major accident, epidemic, or terrorist attack. Disputes resolved via negotiation, mediation, arbitration, or litigation.
22–26	Cross-border & Countermeasures	Providing evidence to foreign judicial/enforcement bodies must comply with state-secrets, data-security, personal-info, and export-control laws. Commerce authorities may investigate investment barriers and adjust country policy.
27–31	Penalties	For prohibited investments: regulators to confiscate the illegal gains, if investor refuses to comply, the fine is 0.5%–1% of investment amount, and ¥50k–100k for responsible person. For failure to file / false materials: regulators to confiscate the illegal gains, and impose a fine of 0.1%–0.5% of investment amount, and ¥20k–50k for responsible persons. If investor obtains the approval and filing of overseas investment by bribery, deception or other improper means , the approval and filing authority shall cancel the related documents, confiscate the illegal gains and impose a fine of 0.1%–0.5% of investment amount. If the investment has begun, regulators should ordered to stop the investment activities, and impose a fine of 0.5%–1.0% of investment amount, and ¥20k–50k for responsible persons. 3-year refusal of applications or 1–3 year ban on outbound investment if investors engaged in above misbehaviors
32–34	Special Provisions	Investments in HK / Macau / Taiwan managed by reference to these rules. Management of (onshore) investors' investments—using their own funds, raised funds, and other entrusted funds—in financial markets outside (Mainland) China shall be carried out in accordance with these Provisions and other relevant national regulations. Management of investors' reinvestment outside China using assets, rights and interests, etc. obtained through outbound investment shall be carried out in accordance with these Provisions and other relevant national regulations. Specific measures for the administration of outbound investment by individuals who are residents of Mainland China, etc. shall be formulated by respective authorities in charge of investment and commerce.

Source: The State Council - Regulations of the State Council on Foreign Investment (1st Jun 2026).

Table 2: HSBC/STAN - Quantifying the revenue contribution of HK wealth business

In US\$ mn, as of FY25	HSBC (disclosed)*	STAN (est)	Note (for est)
Group revenue	71,020	20,829	A - disclosed
HK revenue		5,347	B - disclosed
HK revenue as % of Group		26%	c=b/a
Wealth income		3,087	E - disclosed
HK wealth income*	3,500	792	f=c*e (disclosed for HSBC)
HK wealth fee income as % of Group revenue	4.9%	3.8%	g=f/a
HK wealth deposits income in NII	1,902	574	H = HSBC disclosed that wealth deposit income makes up ~20% of Banking NII; we assume the same for STAN.
Total HK wealth revenue contribution	7.6%	6.6%	I=h/a+g
MCV's contribution to HK wealth	25%	25%	J = JPM assumptions; HSBC disclosed that ~20% growth in invested assets in HK are driven by new clients, of which ~70% from non-residents **
Potential revenue impact if no more MCVs	-1.9%	-1.6%	K=-j*i
Impact to 26E EPS	-3.9%	-4.9%	

Source: Company reports, J.P. Morgan estimates. Note: *HSBC disclosed HK wealth income excl. items booked in IWPB is \$2.2bn, and HK IWPB income is \$3.2bn of which ~40% is non-banking NII. So total HK wealth income is ~\$3.5bn. MCV stands for Mainland Chinese Visitors. **According to HSBC, most of the non-residents are non-resident Chinese but not all, and this 70% includes a notable portion of money that is already offshore.

Table 3: Number of applicants approved under HK's talent scheme and capital investment scheme

	2023	2024	2025	1Q26	2023-1Q26
Top Talent Pass Scheme (高才)	49,737	41,057	31,508	7,035	129,337
Quality Migrant Admission Scheme (优才)	12,969	11,848	7,101	1,029	32,947
Admission Scheme for Mainland Talents and Professionals (专才)	19,757	25,344	26,714	6,503	78,318
New Capital Investment Entrant Scheme (资本投资者入境计划)	Relaunched in Mar 2024, and 1,762 applicants are approved as of Feb 2026				1,762

Source: HK IMMD, GovHK ([link](#))

Companies Discussed in This Report (all prices in this report as of market close on 05 June 2026, unless otherwise indicated)
HSBC Holdings plc(HSBA.L/1,361p/N), Julius Baer(BAER.S/CHF66.00/OW), Standard Chartered(STAN.L/1,933p/OW),
UBS(UBSG.S/CHF37.68/OW)

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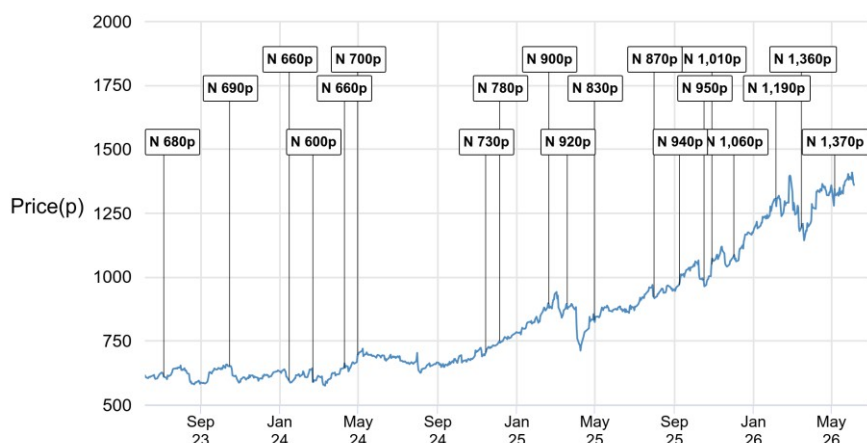
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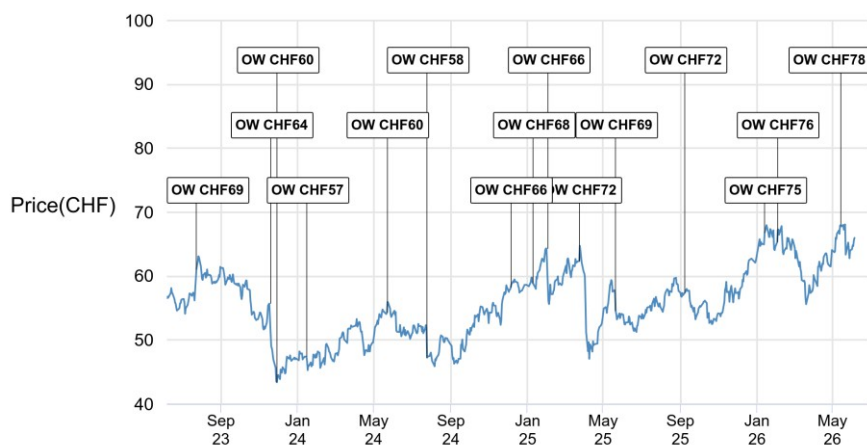
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Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Apr 11, 2001. All share prices are as of market close on the previous business day.

Date	Rating	Price (p)	Price Target (p)
07-Jul-23	N	610	680
16-Oct-23	N	653	690
16-Jan-24	N	596	660
22-Feb-24	N	590	600
10-Apr-24	N	645	660
01-May-24	N	696	700
15-Nov-24	N	706	730
06-Dec-24	N	751	780
20-Feb-25	N	895	900
20-Mar-25	N	896	920
01-May-25	N	832	830
01-Aug-25	N	923	870
09-Sep-25	N	970	940
17-Oct-25	N	989	950
29-Oct-25	N	1050	1,010
02-Dec-25	N	1080	1,060
05-Feb-26	N	1308	1,190
17-Mar-26	N	1196	1,360
07-May-26	N	1343	1,370

Julius Baer (BAER.S, BAER SW) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Mar 20, 1998. All share prices are as of market close on the previous business day.

Date	Rating	Price (CHF)	Price Target (CHF)
25-Jul-23	OW	61.04	69
20-Nov-23	OW	55.72	64
30-Nov-23	OW	43.40	60
16-Jan-24	OW	47.44	57
23-May-24	OW	54.28	60
26-Jul-24	OW	47.26	58
06-Dec-24	OW	58.24	66
10-Jan-25	OW	58.92	68
03-Feb-25	OW	64.30	66
25-Mar-25	OW	62.36	72
22-May-25	OW	54.56	69
09-Sep-25	OW	57.40	72
14-Jan-26	OW	66.78	75
03-Feb-26	OW	65.34	76
15-May-26	OW	67.94	78

Standard Chartered (STAN.L, STAN LN) Price Chart



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Initiated coverage Jun 27, 2001. All share prices are as of market close on the previous business day.

Date	Rating	Price (p)	Price Target (p)
01-Aug-23	OW	747	980
07-Sep-23	OW	702	990
16-Jan-24	OW	605	820
26-Feb-24	OW	635	850
10-Apr-24	OW	673	900
03-May-24	OW	756	1,000
31-Jul-24	OW	770	1,020
04-Dec-24	OW	966	1,180
24-Feb-25	OW	1183	1,390
04-Aug-25	OW	1355	1,490
09-Sep-25	OW	1391	1,670
17-Oct-25	OW	1428	1,690
03-Nov-25	OW	1560	1,770
02-Dec-25	OW	1681	1,880
05-Feb-26	OW	1857	2,170
25-Feb-26	OW	1789	2,200
06-May-26	OW	1819	2,220

UBS (UBSG.S, UBSG SW) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Sep 30, 1998. All share prices are as of market close on the previous business day.

Date	Rating	Price (CHF)	Price Target (CHF)
02-Oct-23	OW	22.69	31
06-Dec-24	OW	28.96	34
25-Mar-25	OW	29.09	37
09-Sep-25	OW	32.26	38
12-Jan-26	OW	38.15	43

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